BRAND

# Sell the signal, not the cable

US launch proposal for hybrid active optical HDMI cables. Amazon US first, then four more channels over five years.

H2 Company (Seoul) and BRAND LLC (Wyoming, to be formed). Owner: Lucy (Hyejin Yoo). US operations support: Mark Taylor.

Prepared October 8, 2026. Every figure comes from 03_Financial_Model_5Y.xlsx. BRAND is a placeholder until the US brand name is chosen.

# Executive summary in five numbers

**$1.17M**

18 month Amazon US revenue, Medium case

Low $633K, High $1.85M

**$153K**

18 month net, 13.1% margin

Low ($20K), High $447K

**Month 8**

cumulative breakeven

High Month 5; Low none within 18 months

**$4.58M**

Year 5 revenue at 13.4% net

High $8.30M, Low $768K

**$116K**

line of credit needed by Month 2

peak cash need $96K in Month 12

What we sell: long length fiber HDMI where copper physically fails past 3 m at 48Gbps. We do not compete with $8 copper.

Where: Amazon US with 5 hero SKUs (stock keeping units) under one parent ASIN (Amazon Standard Identification Number), then eBay and Walmart overflow, B2B (business to business) installers, a DTC (direct to consumer) site, Amazon Canada and a pro line.

What must be true: the factory cost holds near the H2 base (at the Alibaba benchmark the hero SKU loses money), the CBP duty ruling lands at copper or better, and the Day 90 gate passes.

# What we are deciding

## 1 Fund the launch

Commit $39K of self funded opening capital (the August ask) and arrange a dated line of credit of $116K by Month 2 in the Medium case. The Low case needs $136K; the High case $41K.

## 2 Form the US entity

BRAND LLC, a Wyoming single member LLC owned 100% by Lucy. Mark works under a written consulting or commission agreement with no equity, so the LLC stays a disregarded entity and the treaty position stays clean.

## 3 Run the 90 day test

5 hero SKUs, 100 to 300 units each by air, one parent ASIN. The Day 90 gate on slide 19 decides scale, review or kill with numbers written down before the first order.

### Not decided today

- US brand name (BRAND placeholder; MBF was the Korean deck name and is not final)
- Temu local seller program (optional, not in the base case)
- Whether H2 Company incorporates first (question for the Korean tax accountant)

# Market and why fiber

Section 1 of 5

# Why copper fails past 3 m at 48Gbps

## The physics in one paragraph

Ultra High Speed HDMI carries 48Gbps. Signal loss in copper grows with frequency and with length, so a passive copper cable past about 3 m cannot carry 8K at 60Hz or 4K at 120Hz cleanly. The fix is either active electronics at each end or fiber. A hybrid active optical cable puts the video on fiber cores and keeps thin copper conductors for power and control signals.

*Accurate wording: fiber optic HDMI, hybrid active optical. Never pure fiber or all glass.*

| | Passive copper | Hybrid active optical (ours) |
|---|---|---|
| Reliable length at 48Gbps | About 3 m | 7 m to 50 m in the current line |
| Weight and bend | Thick and stiff at length | Thin and light, pulls through conduit |
| Interference | Picks up electrical noise | Fiber is immune to it |
| Direction | Either way | Directional: SOURCE and DISPLAY ends (our direction proof design) |
| Price point | Around $8 for short runs | $44.99 for the hero 10 m SKU |

Length limits are a management summary of the HDMI specification; the brief's statement is that copper physically fails past 3 meters at 48Gbps.

# Who buys long HDMI

### Home theater and projector owners

Projector 10 m to 20 m from the AV receiver. Wants 4K 120Hz or 8K and eARC. Buys on Amazon.

[PLACEHOLDER: segment size, source still to be found]

### Gamers with PS5 and Xbox

4K at 120Hz needs 48Gbps. Shorter runs, but the 7 m and 10 m lengths fit desks and living rooms.

[PLACEHOLDER: segment size, source still to be found]

### Custom installers and AV integrators

In wall runs need CL3, conduit pulls need the detachable head. Buys B2B at 60% of retail from Year 2.

[PLACEHOLDER: installer count, source still to be found]

### Conference rooms, classrooms, churches, signage

Long runs from a rack to a display or projector. Repeat buyers with multiple rooms.

[PLACEHOLDER: segment size, source still to be found]

### What the Korea sales already show (evidence based)

**54%**

In the August 2026 deal of 1,400 units, the 8K short runs (7 m, 10 m, 20 m) were 53% of units and 54% of gross profit. The US launch leads with the same lengths.

# Price ladder and positioning

## *Sell the signal, not the cable.*

Enter narrow. Own long length, high spec fiber. Do not compete with $8 copper.

| Launch SKU | Category name on the listing | Length | List price | Sale price (ASP input) | Net per unit by air | Net % |
|---|---|---|---|---|---|---|
| 8K 7M | Ultra High Speed HDMI Cable | 7 m | $49.99 | $39.99 | $10.31 | 25.8% |
| 8K 10M | Ultra High Speed HDMI Cable | 10 m | $59.99 | $44.99 | $12.47 | 27.7% |
| 8K 15M | Ultra High Speed HDMI Cable | 15 m | $69.99 | $54.99 | $16.37 | 29.8% |
| 8K 20M | Ultra High Speed HDMI Cable | 20 m | $79.99 | $64.99 | $20.89 | 32.1% |
| 4K 30M | Premium High Speed HDMI Cable (placeholder) | 30 m | $64.99 | $49.99 | $4.39 | 8.8% |

Prices and FBA fees are management estimates pending the Amazon rate card check. Net per unit uses the H2 cost base, Copper duty and air freight for launch lots.

### How the ladder works

- List price anchors value; the sale price is what the model uses as ASP.
- Hero SKU: the 10 m 8K cable at $44.99 (list $59.99).
- One parent ASIN per line, children by length, so reviews and ads pool (lever 6).
- Blended ASP in the 18 month model: $42 (evidence based, August model).

# Product

Section 2 of 5

# Line today and the roadmap

| SKU | Line | Length | List | Sale | H2 cost (KRW) | Launch |
|---|---|---|---|---|---|---|
| 8K 7M | Ultra High Speed HDMI Cable (8K line) | 7 m | $49.99 | $39.99 | 10,525 | Yes |
| 8K 10M | Ultra High Speed HDMI Cable (8K line) | 10 m | $59.99 | $44.99 | 11,470 | Yes |
| 8K 15M | Ultra High Speed HDMI Cable (8K line) | 15 m | $69.99 | $54.99 | 13,376 | Yes |
| 8K 20M | Ultra High Speed HDMI Cable (8K line) | 20 m | $79.99 | $64.99 | 15,266 | Yes |
| 8K 25M | Ultra High Speed HDMI Cable (8K line) | 25 m | $89.99 | $74.99 | 17,172 | No |
| 8K 50M | Ultra High Speed HDMI Cable (8K line) | 50 m | $149.99 | $119.99 | 27,349 | No |
| 4K 15M | Premium High Speed HDMI Cable (4K line, placeholder) | 15 m | $44.99 | $34.99 | 12,680 | No |
| 4K 20M | Premium High Speed HDMI Cable (4K line, placeholder) | 20 m | $49.99 | $39.99 | 14,122 | No |
| 4K 30M | Premium High Speed HDMI Cable (4K line, placeholder) | 30 m | $64.99 | $49.99 | 19,542 | Yes |
| 4K 40M | Premium High Speed HDMI Cable (4K line, placeholder) | 40 m | $74.99 | $59.99 | 22,609 | No |

H2 cost is the landed Korea purchase cost per unit from the August 2026 deal (evidence based). Spec names such as HDMI 2.1 are internal only and never appear on packaging or listings.

## Roadmap

### Year 3

HDMI 2.2 16K, DP 2.1 and USB4 active optical cables. Modeled as a 3% mix uplift to ASP (management estimate).

### Year 4

Pro line: CL3, plenum, conduit pull, long run fiber KVM. ASP $120, sold 60% B2B and 40% Amazon (management estimate).

### Years 4 to 5

Amazon Canada with stock transferred from the US.

# Five differentiators

### Direction proof design

Color coded SOURCE and DISPLAY ends, printed arrows, QR code to a setup video. Lever 3: returns from 3% toward 2%.

### 5 Year Signal Guarantee

The replacement ships before the return arrives. Simple promise, simple process (flowchart 04).

### CL3 in wall rating

Claimed only after the factory's CL3 documentation is in hand. Opens the installer segment.

### Detachable head for conduit pulls

The small head passes through conduit, then the connector clicks on. Installers ask for this first.

### Spec Match finder and trade up registration

Buyers register for the guarantee and get a length and spec check. Builds the off Amazon email list (lever 11).

# Brand architecture and the HDMI naming rule

**BRAND (US brand, name to be chosen)**

### Ultra High Speed HDMI Cable

The 8K line. One parent ASIN, children 7 m, 10 m, 15 m, 20 m, 25 m, 50 m.

### Premium High Speed HDMI Cable

The 4K line, pending certification (placeholder). One parent ASIN, children 15 m, 20 m, 30 m, 40 m.

### Pro line (Year 4)

CL3, plenum, conduit pull, long run fiber KVM. Sold 60% B2B, 40% Amazon.

## The naming rule

- Packaging and promotion never use HDMI version numbers. Use the cable category name: Ultra High Speed HDMI Cable.
- Listing titles may state 48Gbps and 8K.
- Say fiber optic HDMI or hybrid active optical. Never pure fiber or all glass.
- The factory must be an HDMI Adopter with ATC test reports. HDMI LA runs seizures.

## Trademark and Brand Registry

- Foreign applicants file through a US licensed attorney: about $350 per class plus attorney fees [PLACEHOLDER: attorney quote].
- Amazon Brand Registry accepts a pending application.
- Brand Registry gates A+ content, Brand Store, video ads and hijacker protection.

# Structure and compliance

Section 3 of 5

# US entity and tax

## Wyoming single member LLC

- $100 to form, about $60 per year, no state income tax, strong privacy.
- Delaware costs about $300 per year and is only worth it for raising investment.
- BOI reporting is not required for US formed companies (FinCEN exemption finalized August 11, 2026).
- EIN by phone or fax with Form SS-4, no SSN needed. Exact legal name match across state, IRS, bank and Amazon.

## Annual filing

- A foreign owned single member LLC files Form 5472 with a pro forma Form 1120 every year.
- Penalty for missing it: $25,000.
- Wyoming annual report about $60.
- California may assert income tax nexus from FBA inventory: on the CPA list.

## Treaty position

- 1976 US Korea tax treaty: business profits are taxed only where the permanent establishment (PE) sits.
- Goods stored and shipped from FBA warehouses do not create a PE under Article 9, paragraph 3(b).
- Keep no US office, no US employees and no agent in the US who negotiates or signs contracts.
- Amazon collects marketplace sales tax.

## Ownership

- Lucy owns 100%. Mark is paid under a written consulting or commission agreement.
- If Mark became an owner the LLC would be a partnership: Form 1065 and 37% withholding on her share of profit.
- Alternative kept open: Mark's own US company as distributor and importer of record, with Lucy at the wholesale layer.

# Korea filings around the capital transfer

**Before any capital moves**

### Overseas direct investment (ODI) report

Under the Foreign Exchange Transactions Act Lucy reports the investment to her foreign exchange bank before capital moves. Any stake of 10% or more, any amount. Enforcement against individual online sellers is rising.

**After the transfer**

### Follow up reports

Remittance report, securities acquisition report, then the annual business performance report.

**Every year**

### Overseas financial account report

Required once overseas accounts reach KRW 500M on a month end aggregate basis. Flag for the Korean tax accountant.

**Week 2**

### Question for the Korean tax accountant

H2 Company's registration number 599-64-00496 (middle digits 64) indicates a sole proprietorship. Should H2 incorporate before it owns a US LLC? The plan assumes Lucy owns BRAND LLC personally until told otherwise.

## Order of events

1. ODI report at the foreign exchange bank (week 2).

2. Capital transfer to the LLC account (week 3, only after the report).

3. Remittance and securities acquisition reports.

4. Annual business performance report and the overseas account report if the threshold is reached.

# Product compliance

## HDMI Adopter and ATC

The factory must be an HDMI Adopter with Authorized Test Center reports. HDMI LA runs seizures.

[PLACEHOLDER: HDMI Adopter certificate number and ATC report from factory]

## Naming on box and listing

Category name only (Ultra High Speed HDMI Cable). Titles may say 48Gbps and 8K. No version numbers.

Rule applied in the listing kit

## FCC

AOC heads contain active electronics, so obtain the factory's FCC test report before the first shipment.

[PLACEHOLDER: FCC test report from factory]

## California Prop 65

Add the Prop 65 warning label to packaging and the listing.

Label text in the listing kit

## CL3 in wall

Claim in wall only after the CL3 documentation is in hand.

[PLACEHOLDER: CL3 documentation from factory]

## Product liability insurance

$1M cover is required once sales exceed $10K in a month (Medium case: Month 2).

Quote in week 3

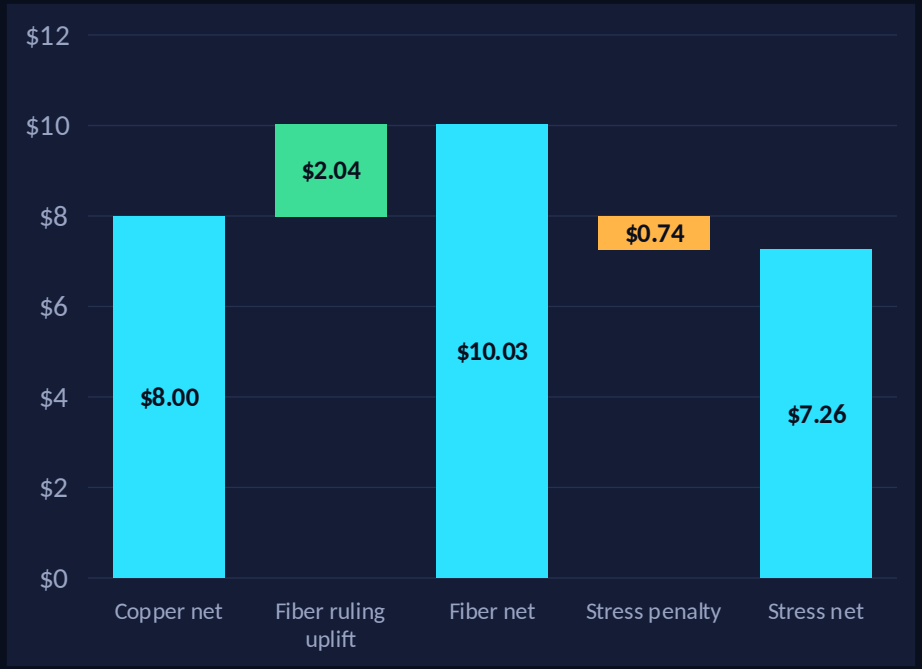
# Tariff stack and the duty ruling

| Scenario | HTS | MFN | Section 301 list | Section 301 forced labor | Pending action | Total |
|---|---|---|---|---|---|---|
| Copper (default) | 8544.42.90 | 2.6% | 25% | 12.5% | 0% | 40.1% |
| Fiber | 8544.70.00 | 0% | 0% | 12.5% | 0% | 12.5% |
| Stress | 8544.42.90 plus second Section 301 action | 2.6% | 25% | 12.5% | 10% | 50.1% |
| Fiber if also on List 3 | 8544.70.00 | 0% | 25% | 12.5% | 0% | 37.5% |

## What changed in 2026

- The Supreme Court struck down the IEEPA tariffs on February 20, 2026.
- The 10% Section 122 surcharge ran February 24 to July 24, 2026 and expired.
- A Section 301 forced labor action added 12.5% on all China origin goods in late July 2026. It applies under either classification.
- A second Section 301 investigation opened in March 2026 is pending: the stress case adds 10 points.
- De minimis is gone. Every shipment needs formal entry through the broker. No parcel dropship model.

### Net per hero unit by duty scenario




### Effect in the Medium case

Fiber ruling: landed COGS 38% to 33.5%, hero net per unit $8.00 to $10.03, 18 month net $153K to $206K, breakeven Month 7. Stress: hero net $7.26, 18 month net $134K.

BRAND US launch proposal. Figures from 03_Financial_Model_5Y.xlsx, Medium case, FX 1,430 KRW per USD, Copper duty, unless stated

# Launch

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# Critical path to the Day 90 gate




Flowchart 01 with owner and weeks on every node. Full size version: output/04_Flowcharts/01_launch_critical_path.png

## The three items that gate everything else

**1** Customs broker and binding ruling request in week 1: the ruling answer takes 30 to 90 days and sets the duty rate for ocean lots.

**2** Korean ODI report at the foreign exchange bank in week 2, before any capital moves to the LLC bank account.

**3** Amazon account and Brand Registry in weeks 3 to 4: Brand Registry gates A+ content, Brand Store, video ads and hijacker protection.

# Day 90 gate and kill criteria

## Day 90 gate (end of Month 3)

| Metric | Pass | Kill | Medium model |
|---|---|---|---|
| Unit session conversion on 3 of 5 launch SKUs | at or above 8% | hero below 5% | observed at the gate |
| TACOS in Month 3, falling month over month | at or below 30% | above 40% | 30% |
| Return rate | at or below 4% | above 7% | 3% |
| Contribution per unit before advertising on 3 of 5 SKUs | at or above $11 | hero below $8 | $12.14 |
| Cash runway after funding the next PO | at or above 4 months | below 2 months | 10.2 months |
| Suppressed listing or IP complaint | none open | open more than 14 days | observed at the gate |

## Month 12 gate

| Metric | Pass | Kill | Medium model |
|---|---|---|---|
| Monthly revenue in Month 12 | at or above $70,000 | below $50,000 | $86,100 |
| Cumulative net | at or above $0 | below ($25,000) | $38,040 |
| TACOS | at or below 15% | above 25% | 15% |
| Return rate | at or below 3% | above 5% | 3% |
| Operating cash flow | positive two months in a row | three negative months with a funding gap above $50,000 | $7,587 (lower of Months 11 and 12) |

## Model results by scenario

| | | |
|---|---|---|
| **Low** | Day 90: REVIEW | Month 12: KILL |
| **Medium** | Day 90: PASS | Month 12: PASS |
| **High** | Day 90: PASS | Month 12: PASS |

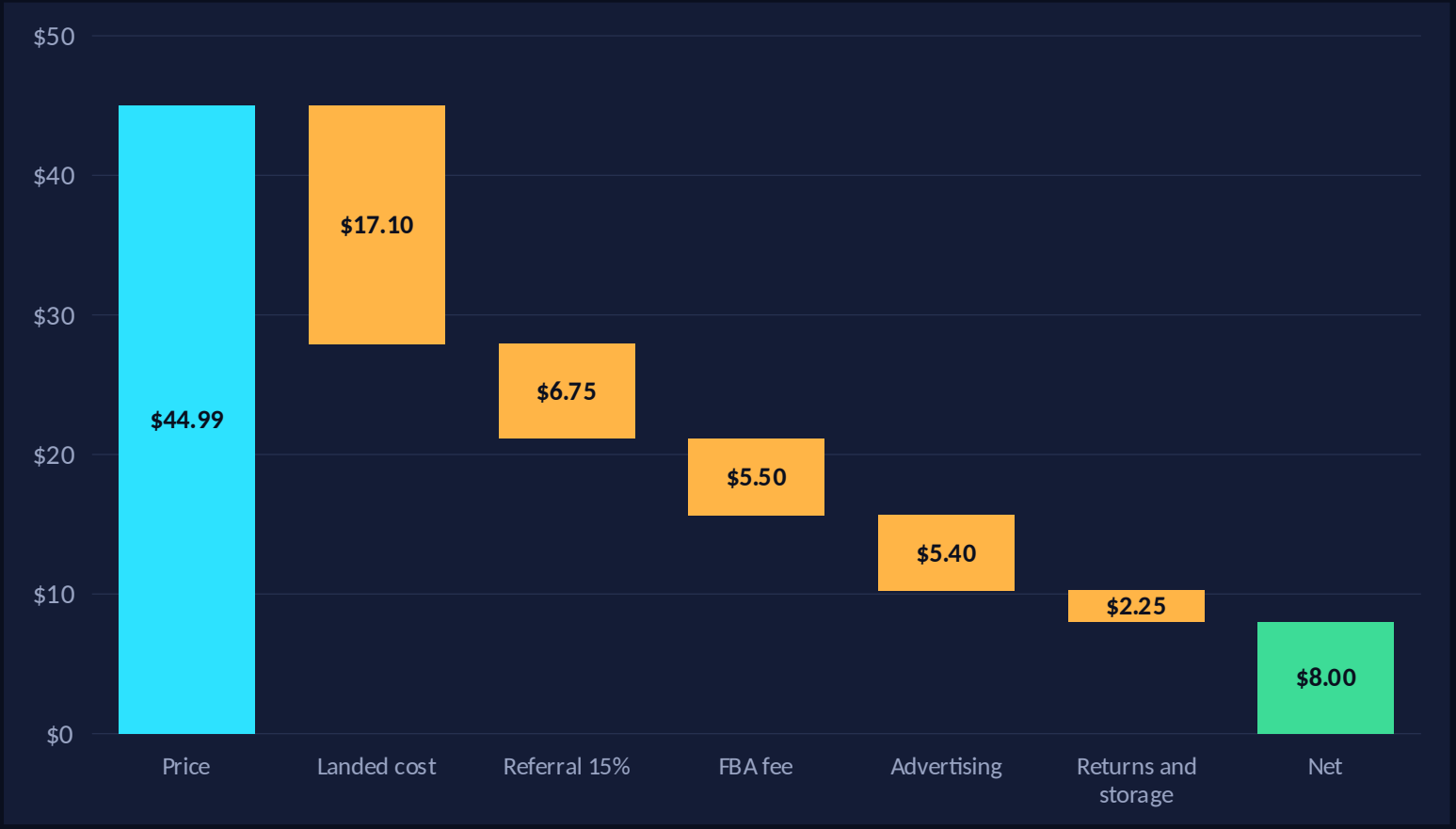


KILL if any kill trigger fires. PASS if every threshold is met. REVIEW otherwise: fix and retest within 30 days. Kill means no further capital, sell down inventory, delist losers, move to Plan B.

# Economics

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# Hero unit economics on Amazon US




Waterfall: price $44.99 less landed cost $17.10, referral $6.75, FBA $5.50, advertising $5.40, returns and storage $2.25 = net $8.00. August model, evidence based: landed cost assumed at 38% of price pending the customs ruling. Advertising $5.40 is the blended 18 month rate. At the Alibaba benchmark cost the same unit loses money (next slide).

Net per unit

**$8.00**

17.8% of $44.99

Same unit in Korea wholesale

**$1.86**

gross profit per unit, August deal

Contribution before advertising

**$12.14**

at the $42 blended ASP; the Day 90 gate asks for $11

**$8.00 vs $1.86: Amazon US vs Korea wholesale, same unit**

# Factory cost cross check

| Cost base | Landed cost per hero unit | Net per unit at $44.99 | Basis |
|---|---|---|---|
| H2 cost base (August deal, FOB = Korea landed cost times 0.92) | $13.22 | **$11.87** | Evidence based cost; FOB factor is a management estimate |
| August model assumption (38% of price) | $17.10 | **$8.00** | Evidence based (August deck assumption) |
| Alibaba benchmark, low ($17 FOB for a comparable 30 ft AOC) | $26.70 | **($1.61)** | Evidence based quote, flagged |
| Alibaba benchmark, high ($22 FOB) | $33.71 | **($8.61)** | Evidence based quote, flagged |

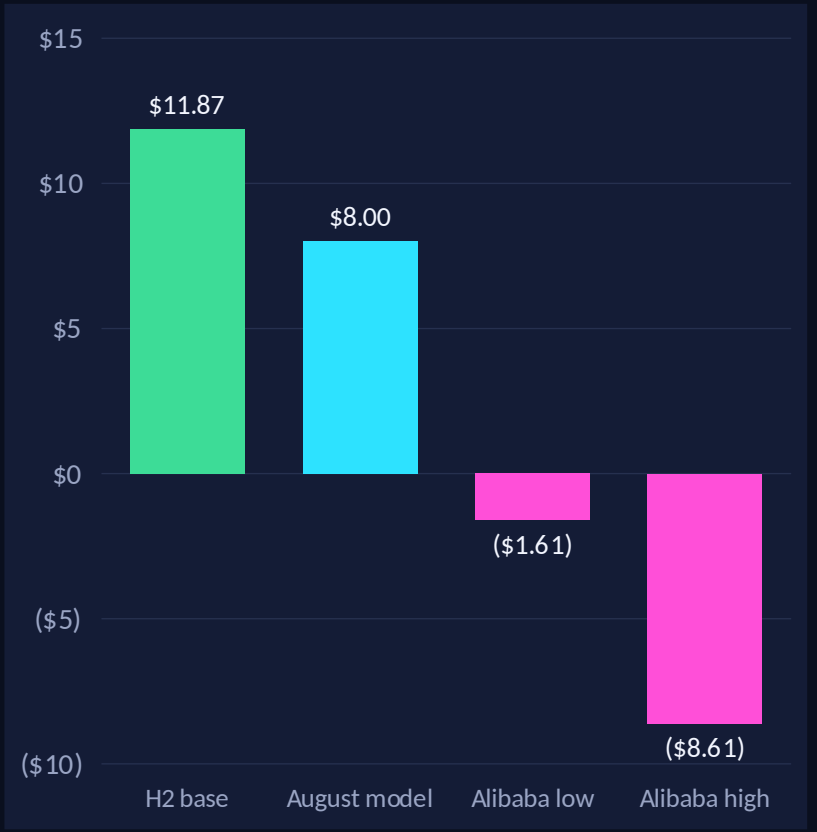
Net uses the August fee structure (FBA $5.50); the price ladder on slide 7 uses the SKU tab FBA estimate of $4.90, hence $12.47 there.

## Plain statement

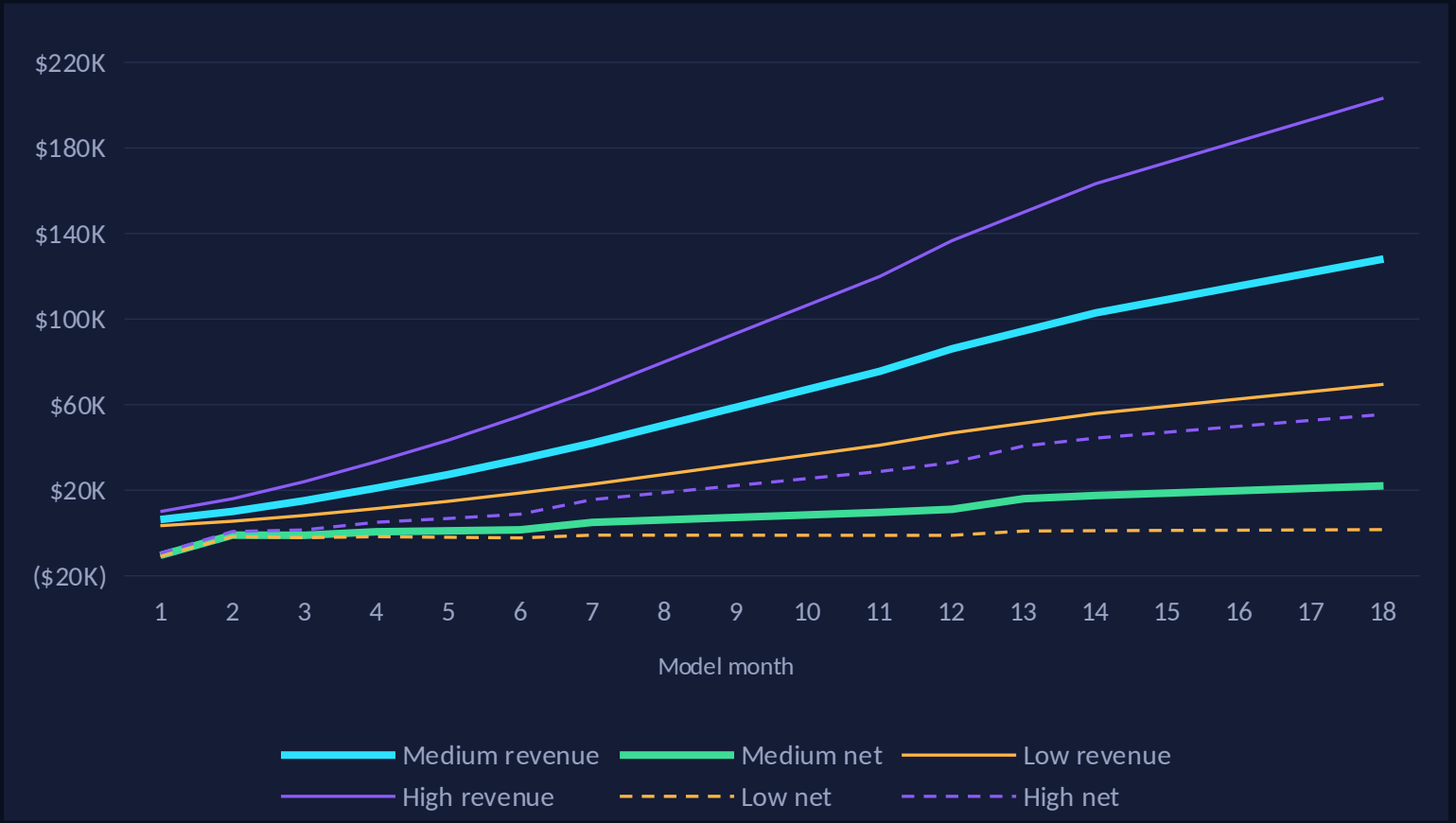
At the Alibaba cost the hero SKU loses money at $44.99. The H2 cost base is $7.38 FOB per unit, far below the $17 to $22 quote. Until the factory confirms a written FOB price for US volumes, this gap is the largest risk in the plan.

**Action in week 1: written FOB quote sheet from the factory for the 5 launch SKUs at 300, 1,000 and 5,000 units [PLACEHOLDER: factory FOB quote sheet].**

**Net per hero unit by cost base**



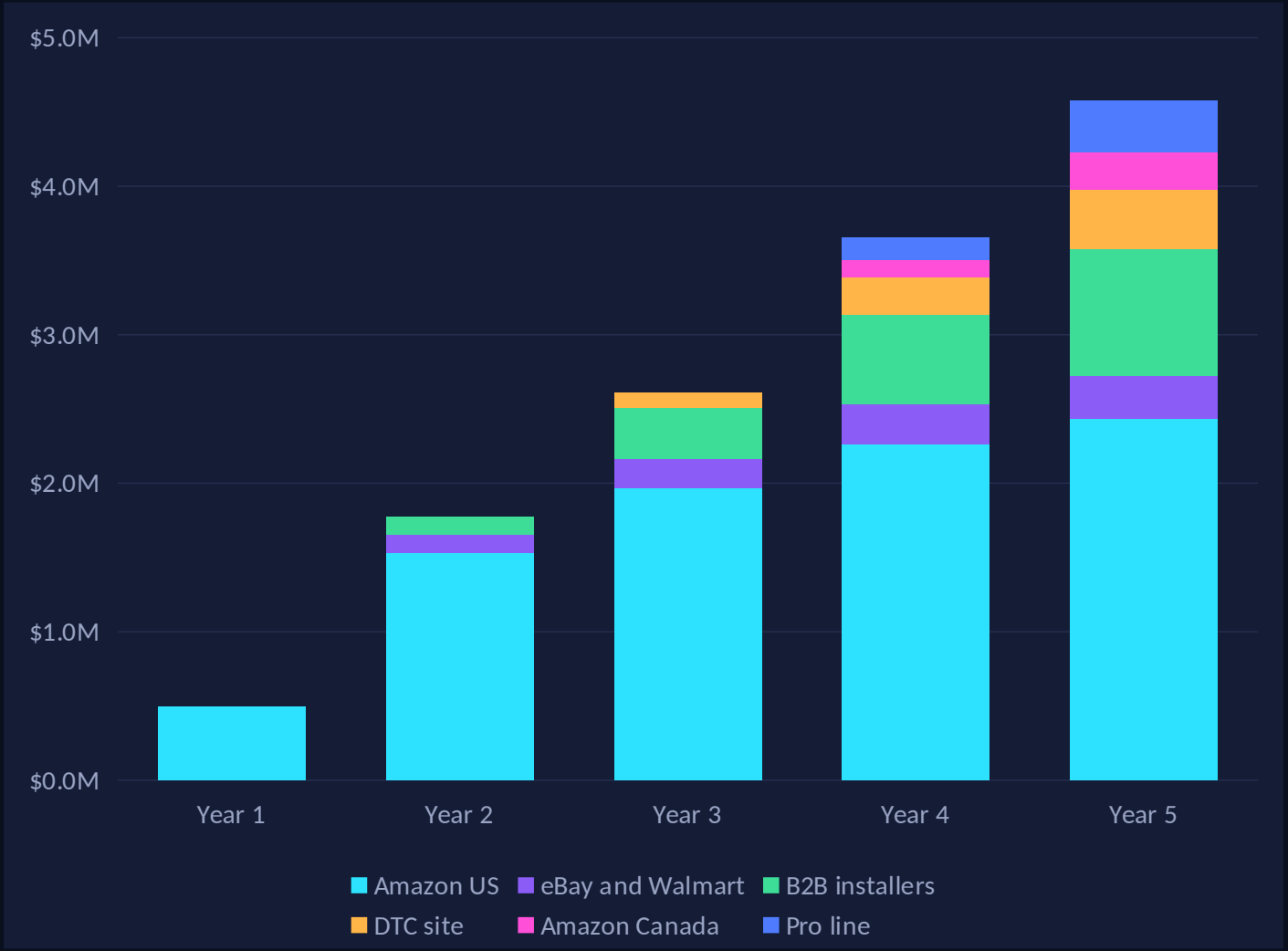
# Eighteen month Amazon US P&L




| | Low | Medium | High |
|---|---|---|---|
| Revenue | $633K | **$1.17M** | $1.85M |
| Net | ($20K) | **$153K** | $447K |
| Net margin | (3.1%) | **13.1%** | 24.2% |
| Cumulative breakeven | none | **Month 8** | Month 5 |
| Month 18 run rate | $834K | **$1.54M** | $2.44M |
| Exit margin (Month 18) | 2.2% | **17.2%** | 27.3% |
| Units | 16,662 | **27,770** | 43,047 |

Medium reproduces the August model (evidence based): ASP $42, landed COGS 38%, returns 3%, ad spend 30% then 22%, 15%, 11% of revenue by phase, fixed $850 per month, seller fee $39.99, launch costs $9,500. Low and High are calibrated management estimates. The single variable separating Low from Medium is the duty ruling and the cost it implies.

# Five year trajectory




| | Year 1 | Year 2 | Year 3 | Year 4 | Year 5 | Year 5 net |
|---|---|---|---|---|---|---|
| **Low** | $268K | $642K | $738K | $763K | $768K | ($2K), (0.3%) |
| **Medium** | $494K | $1.77M | $2.61M | $3.66M | $4.58M | $613K, 13.4% |
| **High** | $785K | $2.84M | $4.42M | $6.47M | $8.30M | $1.84M, 22.2% |

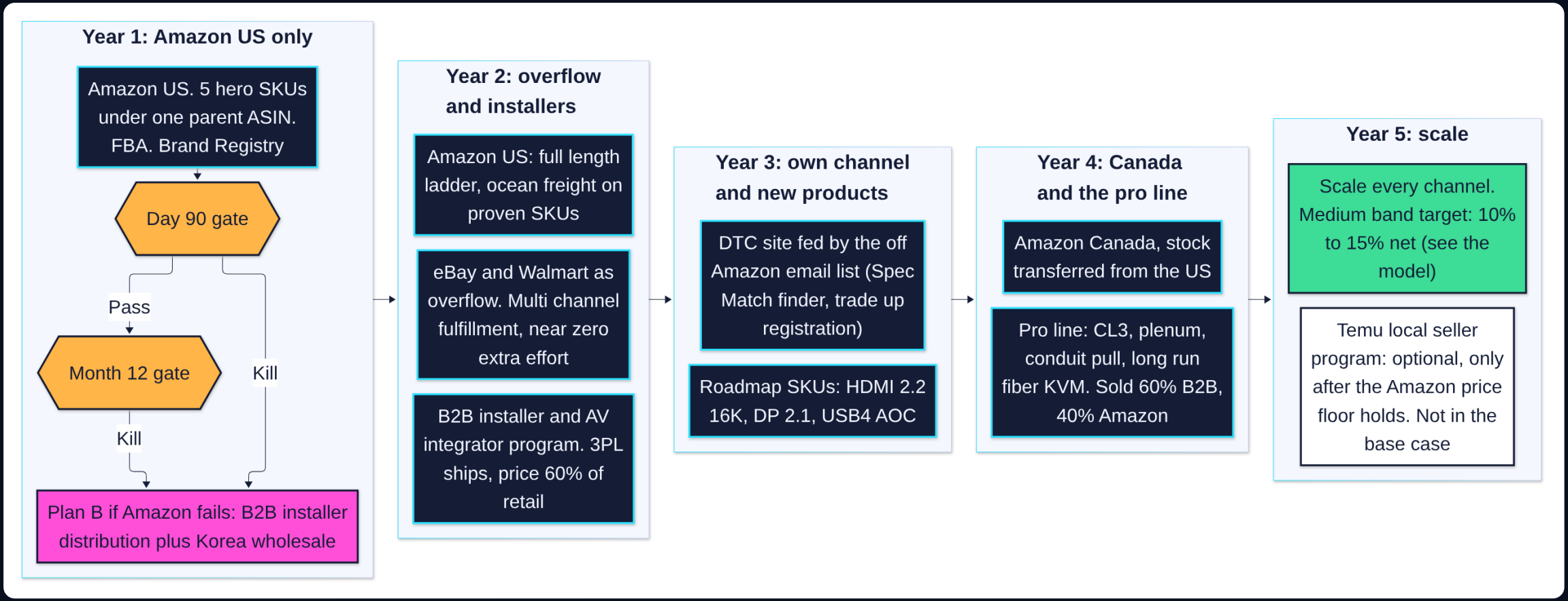
Stacked columns: Medium revenue by channel. Year 1 is Amazon US only and ties to the 18 month model. Year 2 adds eBay and Walmart overflow and B2B installers, Year 3 the DTC site and roadmap SKUs, Years 4 and 5 Amazon Canada and the pro line.

# What must be true for each band

| Driver | Low | Medium | High |
|---|---|---|---|
| **Amazon units: Year 1 and growth Years 3 to 5** | 7,062 units, then +10%, +8%, +5% | 11,770 units, then +30%, +20%, +12% | 18,245 units, then +35%, +25%, +15% |
| **ASP Year 1 to Year 5** | $38 to $33.62 | $42 to $38.27 | $43 to $40.42 |
| **Landed COGS Year 1 to Year 5** | 43% to 43% | 38% to 37.5% | 32% to 32% |
| **Ad spend Year 1 to Year 5 (floor 8%)** | 24.1% to 16.5% | 17.1% to 11.5% | 13.1% to 9.5% |
| **Return rate** | 4% flat | 3%, then 2.5% | 2.5%, then 2% |
| **Duty and freight** | Copper rate, air only | Copper rate, ocean after the gate | Fiber ruling, ocean, volume pricing |
| **Channels beyond Amazon US** | eBay and Walmart overflow; B2B $60K from Year 3 | B2B $120K in Year 2 to $850K; DTC, Canada, pro line | 1.8 times the Medium channel revenue |
| **Lost quarter (listing suppression)** | Months 19 to 21 at 10% of trend | none | none |
| **Year 5 result** | $768K, ($2K) net | $4.58M, $613K net | $8.30M, $1.84M net |

Year 1 Medium drivers are the August model (evidence based). Everything after Month 18 is a management estimate, calibrated so margin compresses at least 1 point a year and ad spend never falls below 8%.

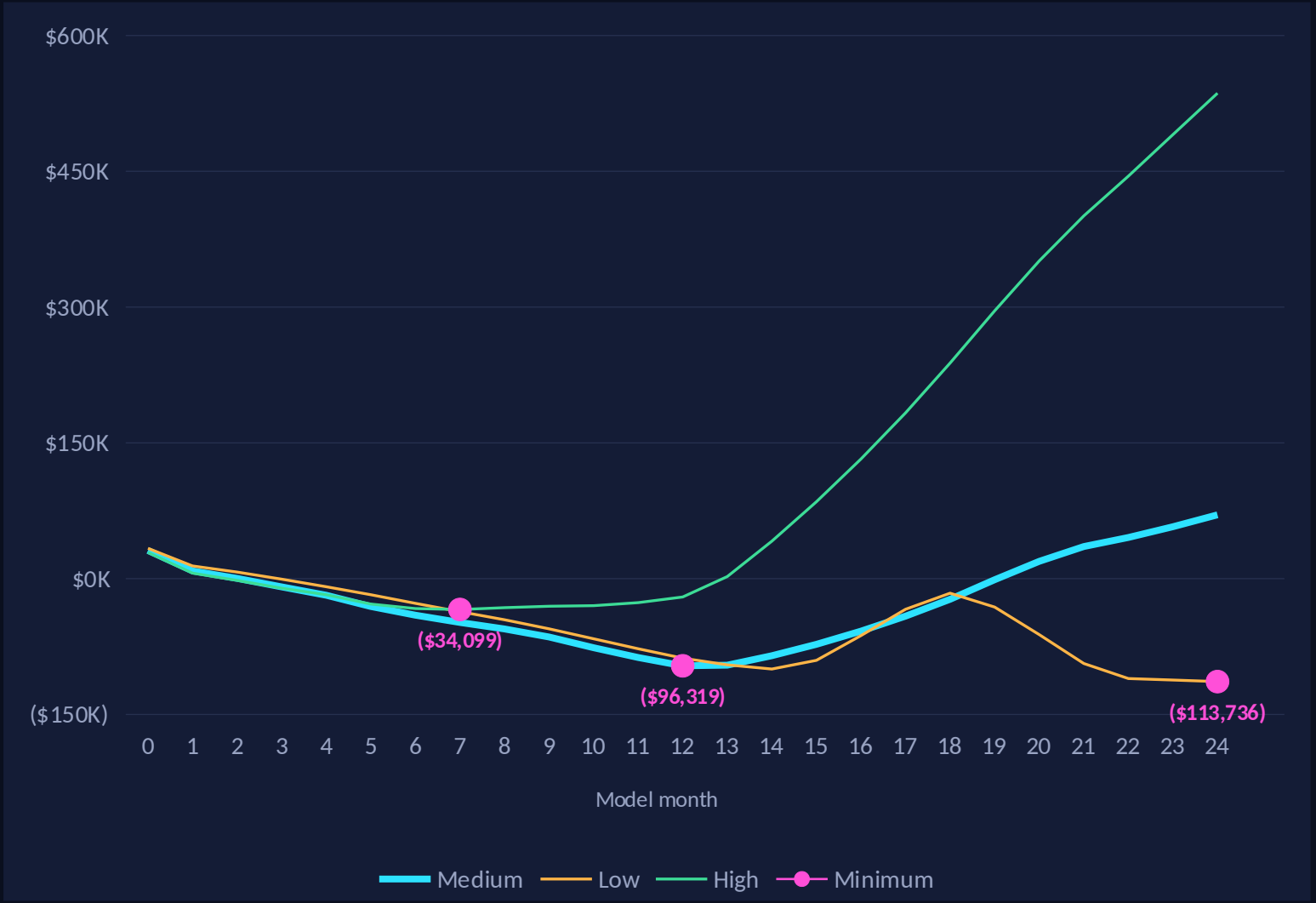
# Channel expansion roadmap




Flowchart 07: channels by year. Each year starts only after its gate: Month 12 gate passed (Year 2), Amazon US and B2B profitable (Year 3), DTC list and roadmap SKUs live (Year 4). Full size version: output/04_Flowcharts/07_five_year_channel_map.png

| Medium revenue by year | Year 1 | Year 2 | Year 3 | Year 4 | Year 5 |
|---|---|---|---|---|---|
| | $494K | $1.77M | $2.61M | $3.66M | $4.58M |

# Cash by month with the peak need marked




Medium peak need

**$96K**

in Month 12; line of credit $116K by Month 2

Low peak need

**$114K**

in Month 24; line of credit $136K by Month 2

High peak need

**$34K**

in Month 7; line of credit $41K by Month 1

## Cash assumptions

- Opening capital $39K, self funded.
- Inventory cover 2.5 months of forward units (Medium), 3.0 (Low), 2.0 (High).
- PO terms 30% at order, 70% at shipment. Lead time 1 month by air, 2 months by ocean after the gate.
- Amazon payout lag 14 days. In transit inventory is funded by the business.
- Balance shown before new funding; the line of credit is sized at 1.2 times the peak need.

# Funding plan

| | Low | Medium | High |
|---|---|---|---|
| Opening capital (Lucy, self funded) | $39K | **$39K** | $39K |
| Peak cash need before funding | $114K | **$96K** | $34K |
| Month of the peak need | Month 24 | **Month 12** | Month 7 |
| Line of credit or investor amount (1.2 times peak) | $136K | **$116K** | $41K |
| Must be in place by | Month 2 | **Month 2** | Month 1 |
| Runway at Day 90 after funding | 15.3 months | **10.2 months** | 4.0 months |
| Cash at end of Month 24 after funding | $23K | **$186K** | $577K |
| Cash at end of Year 5 after funding | $63K | **$1,401K** | $4,492K |

## Order of funding

1. Retained earnings first: every dollar of net stays in the LLC until Year 3.

2. A line of credit of $116K (Medium) drawn as needed from Month 2; an investor amount of the same size is the alternative.

3. The fiber ruling cuts the Medium funding gap to $71K; the stress case raises it to $133K.

4. Owner draws start only after the Month 12 gate passes and the line is repaid.

# Sensitivity: what moves Year 5 net




| Driver | Downside case | Year 5 net | Upside case | Year 5 net |
|---|---|---|---|---|
| Factory cost (FOB) | Alibaba benchmark | ($1,345K) | minus 10% | $732K |
| Duty rate | Stress 50.1% | $528K | Fiber 12.5% | $848K |
| ASP | minus 10% | $462K | plus 10% | $763K |
| Ad spend | plus 3 points | $475K | minus 3 points | $750K |
| FX (KRW per USD) | 1,300 | $528K | 1,550 | $679K |
| Return rate | 5% | $498K | 2% | $636K |

**Base: Medium Year 5 net $613K**

One way sensitivity of Medium Year 5 net, live formulas in the Sensitivity tab. The factory cost bar is cut off on purpose: at the Alibaba benchmark Year 5 net is ($1.35M).

# Twelve levers and what each one moves

| # | Lever | Moves | From | To | Owner | 18 month net effect | Basis |
|---|---|---|---|---|---|---|---|
| 1 | CBP binding ruling: fiber classification 8544.70.00 | Duty rate, landed COGS % | 38% | 33.5% | Broker, Mark | $53K | August deck lever |
| 2 | Air to ocean freight after the Day 90 gate | Freight per unit, landed COGS % | air $8.50 per kg | ocean $1.10 per kg | Lucy, 3PL | $42K | August deck lever |
| 3 | Direction proof connector design | Return rate | 3% | 2.5% (target 2%) | Lucy, factory | $6K | August deck lever |
| 4 | Keyword pruning and negative keywords | Ad spend % | phase rate | minus 2 points | Mark, VA | $23K | August deck lever |
| 5 | Review velocity (Vine, insert card, Brand Registry follow up) | Conversion, unit ramp | base ramp | plus 10% units | Mark | $18K | August deck lever |
| 6 | Length variations under one parent ASIN | Conversion, review pooling, ad efficiency | separate ASINs | one parent | Mark | supports levers 4 and 5 | August deck lever |
| 7 | Factory volume pricing tiers | FOB cost | H2 base | minus 5% at 5,000 units per quarter | Lucy | $13K | Management estimate |
| 8 | Packaging to a smaller FBA size tier | FBA fee per unit | $5.50 | $4.75 on 7 m and 10 m | Lucy, factory | $21K | Management estimate |
| 9 | 3PL feeding FBA, avoid aged inventory surcharges | Storage and inbound % | 2% | 1.5% | 3PL, Lucy | $6K | Management estimate |
| 10 | Price ladder and coupons (list versus sale price) | ASP | $42 | plus or minus 5% test | Mark | $17K | Management estimate |
| 11 | Off Amazon email list (Spec Match finder, trade up registration) | DTC revenue, ad % | 0 | DTC from Year 3 ($100K) | Mark | $16K | Management estimate |
| 12 | B2B installer program (AV integrators, custom installers) | B2B channel revenue | 0 | Year 2 $120K | Mark, Lucy | $14K | Management estimate |

# Marketing playbook

### Ad spend by phase

30% of revenue in Months 1 to 3, 22% in Months 4 to 6, 15% in Months 7 to 12, 11% in Months 13 to 18. Never below 8%. TACOS gate: 30% at Month 3, 15% at Month 12.

### Review velocity

Vine on launch, insert card with the guarantee registration, Brand Registry follow up messages. Target: reviews pooled on one parent ASIN.

### Content

7 image slots plus the video slot, A+ content with 7 modules, Brand Store. Titles state 48Gbps and 8K; category name only, no version numbers.

### Keyword discipline

Weekly pruning and negative keywords (lever 4). Rank for long length and fiber terms, not for cheap copper terms.

### Price ladder and coupons

List price $59.99 anchors the hero at $44.99. Coupons test plus or minus 5% (lever 10). The Amazon price floor is set before any Temu test.

### Off Amazon list

Spec Match finder and trade up registration collect emails at zero ad cost. Feeds the DTC site in Year 3 (lever 11) and the installer program (lever 12).

# Operating model and team

### Lucy (Hyejin Yoo), owner

Owns BRAND LLC 100%. Factory relationship, purchasing, QC, Korea filings, capital. Decides at every gate.

### Mark Taylor, US operations support

Written consulting or commission agreement, no equity. Listings, PPC, broker and 3PL coordination, gate preparation, B2B program. Not an agent who negotiates or signs contracts.

### Attorney, broker, Korean tax accountant, US CPA

Trademark and LLC; customs entries, bond and the binding ruling; ODI and Korean reports; Form 5472 and the California nexus question.

### Factory, 3PL, virtual assistant

HDMI Adopter factory with FNSKU labels at source; 3PL holds bulk and feeds FBA; a VA from Year 3 for customer service and keyword work.

**Fixed cost ramp (Medium, from the model)**

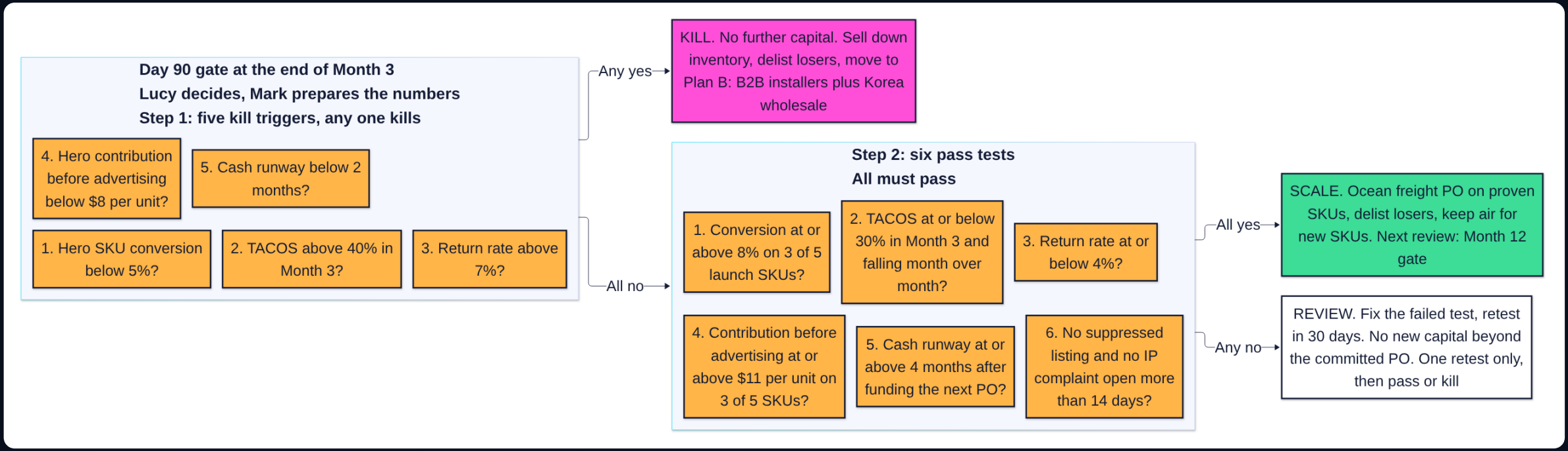
| | | |
|---|---|---|
| **Year 1** | **$11K** | software, insurance, misc at $850 per month plus the $39.99 seller fee. Launch costs of $9,500 are shown separately in Month 1 |
| **Year 2** | **$17K** | plus compliance: Form 5472 preparation, Wyoming report, bond, product liability insurance |
| **Year 3** | **$51K** | adds Mark consulting retainer, virtual assistant, tools and insurance |
| **Year 4** | **$87K** | part time operations help |
| **Year 5** | **$123K** | small team, still no US office or employees |

# Risk register summary: top 8

| Risk | Early warning signal | Mitigation | Owner |
|---|---|---|---|
| **Factory cost gap (H2 base versus Alibaba benchmark)** | Written FOB quote above the H2 base | Quote in week 1; reprice the ladder or stop before the LLC is formed | Lucy |
| **Duty classification lands at copper or worse** | Ruling answer; second Section 301 action | Model carries the copper rate; stress case funded; ocean lots wait for the ruling | Broker, Mark |
| **HDMI LA seizure or licensing complaint** | Missing Adopter proof or ATC report | No shipment without the documents; category name only on packaging | Lucy |
| **Account suspension or listing suppression** | Account health notice; IP complaint | Brand Registry, compliant claims, 14 day response rule; one lost quarter is in the Low case | Mark |
| **Cash: inventory bought ahead of sales** | Balance below the funding trigger | Line of credit $116K in place by Month 2; cover months by scenario | Lucy |
| **Returns from direction confusion** | Return rate above 4% | Direction proof design, QR setup video, guarantee replacement process | Lucy, factory |
| **Korea or US filing missed (ODI, Form 5472)** | Calendar item overdue | Compliance calendar; ODI before capital; Form 5472 penalty $25,000 | Lucy, accountants |
| **Key person (Lucy or Mark unavailable)** | Missed weekly review | Written SOPs (05_Operating_Processes), VA from Year 3, shared logins | Both |

Probability and impact scores live in 08_Risk_Register.xlsx (management estimates). This slide lists the eight that can stop the plan.

# Kill criteria and Plan B




Flowchart 06: the Day 90 decision tree. Month 12 thresholds are on slide 19. Full size version: output/04_Flowcharts/06_day90_scale_or_kill.png

| Plan B: B2B installer distribution plus Korea wholesale | Year 1 | Year 2 | Year 3 |
|---|---|---|---|
| B2B revenue (3PL only, no Amazon fees) | $120K | $300K | $450K |
| Korea wholesale gross profit | $14K | $16K | $19K |
| Total revenue | $188K | $368K | $518K |
| Net | $17K | $32K | $50K |

**Kill means**

No further capital. Sell down inventory. Delist losers. Move to Plan B. The decision belongs to Lucy; Mark prepares the numbers.

Plan B is a side business, shown honestly: B2B at 60% of retail with 3PL fulfillment, plus four Korea deals a year at the August pace growing 15% per year (management estimate).

# The ask

## 1 Capital

$39K of self funded opening capital now, and a line of credit or investor commitment of $116K in place by Month 2 (Medium). Low would need $136K, High $41K.

## 2 Structure

Approve BRAND LLC in Wyoming, Lucy as 100% owner, Mark under a consulting or commission agreement. Engage the attorney and the customs broker in week 1.

## 3 Facts before money

Written FOB quote, HDMI Adopter proof, ATC, FCC and CL3 documents from the factory. The brand name shortlist by week 2.

## 4 Discipline

Agree the Day 90 and Month 12 gate numbers on slide 19 before the first purchase order, and the kill rule: no further capital if a trigger fires.

### What it buys in the Medium case

$153K of net in 18 months, $4.58M of revenue in Year 5 at 13.4%, and $1.93M of cumulative net over five years from the same product that earns $1.86 a unit in Korea wholesale today.

BRAND US launch proposal. Figures from 03_Financial_Model_5Y.xlsx, Medium case, FX 1,430 KRW per USD, Copper duty, unless stated

# First 30 days

## Week 1

- Factory: written FOB quote, HDMI Adopter certificate, ATC, FCC and CL3 documents
- Attorney engaged: trademark search, Wyoming LLC filing
- Customs broker engaged, continuous bond, binding ruling request filed
- Brand name shortlist

## Week 2

- EIN with Form SS-4 by phone or fax
- ODI report at the foreign exchange bank
- Trademark application filed
- Korean tax accountant meeting: incorporate H2 question, overseas account report

## Week 3

- USD bank account (Mercury or Relay; Payoneer or WorldFirst as fallback)
- Capital transfer, only after the ODI report
- Amazon Professional account, tax interview as a foreign owned entity, identity verification
- Product liability insurance quote

## Week 4

- Brand Registry with the pending application
- Test inventory PO: 5 hero SKUs, 100 to 300 units each, air DDP, third party QC booked
- Photography and video brief, listing drafts from 09_Amazon_Listing_Kit
- Compliance calendar and SOPs live (05 and 06)

## Monday morning, three actions for Lucy

1. Email the factory for the FOB quote sheet and the four compliance documents.

2. Book the attorney and the customs broker calls.

3. Book the Korean tax accountant to prepare the ODI report.

# Glossary

**AOC:** active optical cable
**HDMI:** High Definition Multimedia Interface
**ASP:** average selling price
**COGS:** cost of goods sold
**FOB:** free on board (the price at the factory's port)
**DDP:** delivered duty paid
**FBA:** Fulfillment by Amazon
**FNSKU:** Fulfillment Network Stock Keeping Unit (Amazon's barcode)
**ASIN:** Amazon Standard Identification Number
**ACOS:** advertising cost of sales (ad spend divided by ad attributed sales)
**TACOS:** total advertising cost of sales (ad spend divided by total sales)
**PPC:** pay per click advertising
**3PL:** third party logistics warehouse
**HTS:** Harmonized Tariff Schedule
**CBP:** US Customs and Border Protection
**MFN:** most favored nation duty rate

**Section 301:** US trade law tariffs on China origin goods
**IEEPA:** International Emergency Economic Powers Act
**EIN:** Employer Identification Number
**LLC:** limited liability company
**IRS:** Internal Revenue Service
**PE:** permanent establishment
**ODI:** overseas direct investment report, in Korean 해외직접투자 신고
**Tax accountant:** Korean licensed tax accountant, in Korean 세무사
**FTA:** Foreign Exchange Transactions Act, in Korean 외국환거래법
**USPTO:** United States Patent and Trademark Office
**ATC:** HDMI Authorized Test Center
**HDMI LA:** HDMI Licensing Administrator
**FCC:** Federal Communications Commission
**Prop 65:** California Proposition 65 warning label
**CL3:** in wall cable fire rating (Class 3)

**KVM:** keyboard, video and mouse extension
**DTC:** direct to consumer website
**LOC:** line of credit
**QC:** quality control
**PO:** purchase order
**SKU:** stock keeping unit
**KPI:** key performance indicator
**SOP:** standard operating procedure
**VA:** virtual assistant
**eARC:** enhanced audio return channel
**Gbps:** gigabits per second
**B2B:** business to business
**IP:** intellectual property
**BOI:** beneficial ownership information report
**AV:** audio video
**DP:** DisplayPort
**SSN:** Social Security Number
**CPA:** certified public accountant (US tax preparer)
**FX:** foreign exchange rate